

National Insurance Company Limited vs Tsering Smanla on 7 October, 2021

Author: Ali Mohammad Magrey

Bench: Ali Mohammad Magrey

HIGH COURT OF JAMMU & KASHMIR AND LADAKH
AT SRINAGAR

MA No. 91/2018
CM No. 6505/2021

Reserved on: 30.09.2021
Pronounced on: 07 .10.2021

National Insurance Company Limited

... Appellant

Through:

Mr. Javid Ahmad Kawoosa, Sr. Advocate with Mr. Aatir Kawoosa, Advocate

v.

Tsering Stanzin and Anr.

... Respondent

Through:

Mr. Muzaffar Ahmad Baqal, Advocate with Mr. Mian Muzaffar, Advocate Coram:

Hon'ble Mr. Justice Ali Mohammad Magrey, Judge.

(JUDGMENT)

1. The appellant Insurance Company (hereinafter referred to as "Insurance Company"), has challenged the impugned award dated 09.10.2018, passed by the Motor Accident Claims Tribunal, for short MACT, Kargil, in claim petition titled Tsering Stanzin Vs. Tsering Smanla, with the relief of seeking setting aside of the award and rejection of the claim petition.

Brief facts:-

2. A claim Petition was filed by the respondent-claimant before the Motor Accident Claims Tribunal Kargil (hereinafter to be referred as "Tribunal") wherein it was alleged that on 11.10.2013, respondent No. 2 was driving the offending Vehicle bearing registration No. JK10-4452, rashly and negligently and the same met with an accident at Fokarfo due to which some passengers sustained injuries amongst whom the deceased got seriously injured and succumbed to the injuries.

3. The respondent/ claimant, thereafter, approached the Tribunal with a claim petition seeking compensation to the tune of Rs. 20.00 lacs along with interest.

4. The appellant had appeared and filed their reply before the Tribunal resisting the claim of the respondent/ claimant and prayed for the dismissal of the claim petition.

5. The Tribunal framed seven issues for adjudication, which for facility of reference are reproduced as under:-

i. Whether on 11.10.2013, deceased namely Tsering Stob son of Tsering Namsal resident of Shargole was travelling in the offending vehicle bearing registration No. JK-10-4452 from Sapi to Shargole which met with accident and fell into gorge about 100 feet deep at Fokar Phoo resulting in serious injuries to many passengers and death of the deceased? OPP.

ii. Whether the driver (respondent No. 1) of the offending vehicle was driving the vehicle rashly and negligently? OPP. iii. Whether the claimant is the adopted son of the deceased and as such, entitled to claim compensation? OPP iv. Whether the claimant was dependent upon the earnings of the deceased and hence entitled to claim compensation? OPP v. In case issues 1 to 4 are proved in affirmative then to what compensation the claimant is entitled and from whom he is entitled to claim compensation? OPP vi. Whether monthly income of the deceased was Rs. 20,000/-? OPP vii. Whether the respondent No. 1, i.e., driver of the offending vehicle was not having valid and effective driving license, R/C and Route permit on the date of accident and thereby committed breach of policy conditions exonerating the respondent No. 2 from paying the compensation to the claimant? OPR-2

6. Upon hearing the learned counsel for the parties and on consideration of the matter, the Tribunal has allowed the claim petition and passed an Award to the tune of Rs. 17,70,000/- with interest @ 12% per annum from the date of filing of the claim petition till its final realization.

7. The Appellant Insurance Company feeling aggrieved, challenges the said award on the grounds as under:-

i. That the impugned Award is contrary to law and facts and as such is liable to be set aside.

ii. That it is an admitted case of the claimant that he was an adopted son of the deceased as such he is not a legal heir. He has no locus to file the claim Petition and under law he is not entitled to any compensation. Besides, the claimant is a major and was 35 years of age at the time of accident, and as such cannot claim to be dependent upon the earnings of the deceased. Thus, the Learned Tribunal has not considered all these aspects in its right perspective, as such, the award is liable to be

set aside.

iii. That even otherwise also, the compensation awarded by the learned Tribunal is arbitrary, excessive and unjust. The claimant in the claim Petition has submitted the age of the deceased as 60 years and has claimed that he was shopkeeper earning Rs.20,000/- per month. The witnesses produced by the Respondent No.1, have stated that the deceased was earning the sum of Rs. 50,000/- per annum and some have stated the he was earning Rs. 45000/- per annum. The learned Tribunal has also referred to the said statements in the award but has taken the income of the deceased as Rs.20, 000/- per month. The learned Tribunal failed to appreciate that there has been no independent witness on record that the deceased was earning Rs.20, 000/- per month. The respondent No.1 has failed to produce any documentary evidence so as to prove that he was earning Rs.20, 000/- per month. He had not produced any bills, vouchers or any documents (income tax returns) so as to justify that he was earning Rs.20,000/- per month merely on the basis of statement of some witnesses without any documentary evidence on record regarding the income.

iv. That the learned Tribunal is also not justified in taking the age of the deceased as 55 years. The respondent in the claim petition has himself stated the age of the deceased as 60 years. As per the Aadhar Card the date of birth of the deceased is 15.08.1940, meaning thereby that he was 70 years of age. Thus, the learned Tribunal is not justified in taking the age of the deceased as 55 years for applying the multiplier. Thus, the multiplier of 13 is on the higher side. The learned Tribunal ought to have taken the age of the deceased as 70 years in terms of the Aadhar Card and applied multiplier of 5 instead of 13.

v. Similarly the Learned Tribunal has deducted 1/3rd on account of personal expenses. The claimant being the major adopted son of 35 years of age at the time of accident was not dependent upon the earnings of the deceased. Thus, the learned Tribunal ought to have deducted at least 1/2 on account of personal expenses instead of 1/3rd. Thus, the compensation awarded in all respects is excessive, arbitrary and unjust.

vi. That the learned Tribunal is also not justified in holding that in case the amount is not deposited within a period of one month an interest of 12% shall be charged, which has been already deprecated by the Hon'ble Supreme Court. It has been held that the Tribunals have no power of awarding panel rate of interest. Thus, the entire compensation awarded is arbitrary, excessive and unjust.

8. Heard learned counsel for the parties, perused the records and considered the matter.

9. The moot question raised by the appellant Insurance Company has reference to the entitlement of the respondent-claimant as adopted son of the deceased, without establishing such adoption before the Tribunal.

10. Mr. Javid Ahmad Kawoosa, learned senior counsel appearing for the appellant Insurance Company while re-iterating the pleadings of the parties before the Tribunal as also before this Court has supported the contention for the relief claimed in the appeal with reference to the provisions of Jammu and Kashmir Hindu Adoptions and Maintenance Act, 1960. Learned senior counsel submits that no adoption can be made after the commencement of the Act by or to a Hindu except in accordance with the provisions contained in Chapter II of the J&K Hindu Adoptions and Maintenance Act, 1960 now repealed. Learned senior counsel further submits that the requisite for the valid adoption are not fulfilled by the respondent-claimant, as he has failed to establish before the Tribunal that the deceased person had the capacity and the right to take in adoption the claimant and there is no declaration in the form of any documentation made by the deceased, who has taken in adoption the claimant or the one who has given in adoption the respondent, claimant, therefore, the adoption is not valid in terms of provisions contained in Chapter II of J&K Hindu Adoptions and Maintenance Act, 1960 now repealed. Learned senior counsel referred to and relied upon the Judgment delivered by the Hon'ble Apex Court in case titled M. Gurudas v. Rasaranjan reported in AIR 2006 Supreme Court 3275.

11. Mr. Javid Ahmad Kawoosa, learned senior counsel appearing for the Insurance Company has invited the attention of this Court to the evidence recorded by the Tribunal on the issues framed.

12. Regarding issue No. 3, "as to whether the claimant being adopted son of the deceased entitled for compensation", Mr. Javid Ahmad Kawoosa, learned senior counsel submits that only PW Tsering Phunchuk has stated that respondent-claimant is the only adopted son of the deceased and the deceased was left behind adopted son and wife. Learned senior counsel submits that there is no evidence produced by the respondent-claimant in the shape of any adoption deed/declaration deed, establishing adoption. He further submits that the respondent-claimant has failed to establish the adoption under law before the Tribunal, therefore, the award passed by the Tribunal is unsustainable under law, as such, deserves to be set aside.

13. Mr. Muzaffar Ahmad Baqal, learned appearing counsel for the respondent-claimant along with Mr. Mian Muzaffar, learned Advocate have vehemently opposed the contention raised by Mr. J. A. Kawoosa, learned senior counsel on the strength of the pleadings of the parties, have referred to the evidence recorded by the Tribunal on the issue of adoption of the respondent-claimant and on reading evidence, they stated that adoption is established and respondent-claimant has rightly been awarded the compensation.

14. The Court has given thoughtful consideration of the matter and minutely examine the evidence on record regarding all issues and in particular issue No. 3, which has reference to the adoption of the respondent- claimant by the deceased. In a very cursory manner and halfheartedly the Tribunal has declared the adoption valid on two statements of PWs Stanzin Namgyal and Tsering Phunchuk. The Tribunal's weightage given to the evidence of the above witnesses is taken note of and reproduced as under:-

"with regard to this issue PW Stanzin Namgyal has stated that petitioner is the only adopted son of the deceased. PW Tsering Phunchuk has also stated that deceased has

left behind an adopted son and wife. In rebuttal no evidence has been led by the respondents. Hence this issue is also decided in favour of the petitioner."

15. The Tribunal in the opinion of the Court has established the adoption of the claimant by the oral evidence without there being any valid documentation in the form of evidence on the issue of adoption as required in terms of provisions contained in Chapter II of the J&K Hindu Adoptions and Maintenance Act, 1960 now repealed, being relevant are extracted as under:-

10. Persons who may be adopted.--No person shall be capable of being taken in adoption unless the following conditions are fulfilled, namely:--

(i) he or she is a Hindu ;

(ii) he or she has not already been adopted ;

(iii) he or she has not been married, unless there is a custom or usage applicable to the parties which permits persons who are married being taken in adoption ;

(iv) he or she has not completed the age of fifteen years, unless there is a custom or usage applicable to the parties which permits persons who have completed the age of fifteen years being taken in adoption.

11. Other conditions for a valid adoption.--In every adoption, the following condition must be complied with:--

(i) if the adoption is of a son, the adoptive father or mother by whom the adoption is made must not have a Hindu son, son's son or son's, son's son (whether by legitimate blood relationship or by adoption) living at the time of adoption ;

(ii) if the adoption is of a daughter, the adoptive father or mother by whom the adoption is made must not have a Hindu daughter or son's daughter (whether by legitimate blood relationship or by adoption) living at the time of adoption ;

(iii) if the adoption is by a male and the person to be adopted is a female, the adoptive father is at least twenty-one years older than the person to be adopted ;

(iv) if the adoption is by a female and the person to be adopted is a male the adoptive mother is at least twenty-one years older than the person to be adopted ;

(v) the same child may not be adopted simultaneously by two or more persons ;

(vi) the child to be adopted must be actually given and taken in adoption by the parents or guardian concerned or under their authority with intent to transfer the child from the family of its birth to the family of its adoption :

Provided that the performance of datta homan shall not be essential to the validity of an adoption.

12. Effects of adoption.--An adopted child shall be deemed to be the child of his or her adoptive father or mother for all purposes with effect from the date of the adoption and from such date all the ties of the child in the family of his or her birth shall be deemed to be severed and replaced by those created by the adoption in the adoptive family :

Provided that --

(a) the child cannot marry any person whom he or she could not have married if he or she had continued in the family of his or her birth ;

(b) any property which vested in the adopted child before the adoption shall continue to vest in such person subject to the obligations, if any, attaching to the ownership of such property, including the obligation to maintain relatives in the family of his or her birth ;

(c) the adopted child shall not divest any person of any estate which vested in him or her before the adoption.

13. Right of adoptive parents to dispose of their properties.-- Subject to any agreement to the contrary, an adoption does not deprive the adoptive father or mother of the power to dispose of his or her property by transfer inter-vivos or by will.

14. Determination of adoptive mother in certain cases.--(1) Where a Hindu who has a wife living adopts a child, she shall be deemed to be the adoptive mother.

(2) Where an adoption has been made with the consent of more than one wife, the senior most in marriage among them shall be deemed to be the adoptive mother and the others to be step-mothers.

(3) Where a widower or a bachelor adopts a child, any wife whom he subsequently marries shall be deemed to be the step-mother of the adopted child.

(4) Where a widow or an unmarried woman adopts a child, any husband whom she marries subsequently shall be deemed to be the step-father of the adopted child.

15. Valid adoption not to be cancelled.--No adoption which has been validly made can be cancelled by the adoptive father or mother or any other person nor can the adopted child renounce his or her status as such and return to the family of his or her birth.

16. Presumption as to registered documents relating to adoption.-- Whenever any document registered under any law for the time being in force is produced before any Court purporting to record an adoption made and is signed by the person giving and the person taking the child in

adoption, the Court shall presume that the adoption has been made in compliance with the provisions of this Act unless and until it is disproved.

17. Prohibition of certain payments.--(1) No person shall receive or agree to receive any payment or other reward in consideration of the adoption of any person, and no person shall make or give or agree to make or give to any other person any payment or reward the receipt of which is prohibited by this section. (2) If any person contravenes the provisions of sub-section (1), he shall be punishable with imprisonment which may extend to six months, or with fine, or with both.

(3) No prosecution under this section shall be instituted without the previous sanction of the Government or an officer authorized by the Government in this behalf.

16. From the bare perusal of the above extracted provisions of Chapter II of the J&K Hindu Adoptions and Maintenance Act, 1960 now repealed and the evidence on record, the Court comes to the definite conclusion that the adoption is not established as being valid in terms of law.

17. Seemingly, after the death of deceased Tsering Stob, the respondent- claimant has led the claim for extracting benefit of insurance, which Court had no difficulty, but there is no valid adoption established before the Tribunal or this Court.

18. The J&K Hindu Adoptions and Maintenance Act, 1960, now repealed is relevant for the disposal of the claim as being in vogue at the time of the filing of the claim petition and its decision notwithstanding such finding the provisions of the said Act now repealed as Hindu Adoptions and Maintenance Act (78 of 1956) for short the Act of 1956, the Hon'ble Supreme Court in case titled M. Vanaja v. M. Sarla Devi reported in AIR 2020 Supreme Court 1293 SC 330, has declared that if the adoption by male Hindu is made without fulfilment of essential conditions of consent of wife and actual ceremony, the same is invalid. Section 6 of the Act of 1956, prescribes the prerequisites for a valid adoption, which are"-

" 6. Requisites of a valid adoption- No adoption shall be valid unless. i. The person adopting has the capacity, and also the right, to take in adoption, ii. The person giving in adoption has the capacity to do so; iii. The person adopted is capable of being taken in adoption; and iv. The adoption is made in compliance with the other conditions mentioned in this Chapter".

v.

"7. Section 7 provides that the male Hindu who is of sound mind and is not a minor has the capacity to take a son or a daughter in adoption. The consent of his wife has been made mandatory by the proviso to Section 7. Section 9 deals with persons who are capable of giving a child in adoption. The other conditions for a valid adoption are stipulated in Section 11 (6) which is as under:-

" 11. Other conditions for a valid adoption.

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(vi) the child to be adopted must be actually given and taken in adoption by the parents or guardian concerned or under their authority with intent to transfer the child from the family of his birth (or in the case of an abandoned child or child whose parentage is not known, from the place or family where it has been brought up) to the family of its adoption;

Provided that the performance of data homan shall not be essential to the validity of adoption."

19. Learned counsels appearing for the respondent-claimant were pointedly asked as to whether there is any document establishing the adoption of the respondent-claimant, as required in terms of the law, have replied in negative, therefore, entitlement of the claim fails as the respondent-claimant has not proved the issue of adoption, as required under law and there is no material evidence forming the basis for such entitlement of compensation.

20. On the proper examination of the evidence on record along with contentions raised and supported by law by the counsel appearing for the Insurance Company, the Court comes to an irresistible conclusion that the respondent-claimant has failed to establish his adoption as son of the deceased, therefore, the issue No. 3 is decided in favour of the Insurance Company and against the respondent-claimant, as such, there is no need to go to the other issues raised, as the claim petition fails on the above issue only.

21. In view of above, the appeal is allowed and the impugned award passed by the Tribunal on 09.10.2018, in claim petition titled Tsering Stanzin Vs. Tsering Smanla is set aside and claim petition dismissed. No order as to costs.

22. Disposed of .

23. In view of the fact that the award dated 09.10.2018, passed by the Motor Accident Claims Tribunal in claim petition titled Tsering Stanzin Vs. Tsering Smanla, stands set aside and the claim petition dismissed, therefore, the award amount deposited by the appellant Insurance Company before the Registry is directed to be returned to the appellant Insurance Company forthwith through counsel.

In view of the disposal of the main appeal, the instant application filed by the respondent-claimant does not survive consideration, therefore, the same shall stand dismissed.

Registry to send down the copy of order along with records to the Court below.

(Ali Mohammad Magrey) Judge Srinagar, 07.10.2021 "Mohammad Yasin Dar"

I.	Whether the Judgment is reportable?	Yes/No.
II.	Whether the Judgment is speaking?	Yes/No.

